Mortgage Renewal Strategy

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Your mortgage at a glance

Principal balance	$480,000.00
Renewal interest rate	5.49%
Proposed term	36 months
Remaining amortization	228 months
Payment frequency	monthly
Maturity	2027-03-01
Insurance	uninsured

Financial comparison

Offer	Rate	Payment	Interest	End balance	Net cost
Your renewal offer	5.49%	$3,379	$74,543	$432,911	$74,543
Illustrative alternative	4.49%	$3,123	$60,787	$428,376	$61,737

All options are compared over a common interval when their term supports that interval. Payment savings are not added to interest savings; they describe different views of the same cash flows. Net cost = all payments + ending loan balance + net fees - starting balance.

Lender-switch rules

Potentially eligible for OSFI straight-switch relief

- Existing stand-alone uninsured mortgage transferred between federally regulated lenders at maturity.
- No additional amortization or equity withdrawal; financed related costs no more than $3,000.
- Verify mortgage documentation and lender identity
- New lender must approve and may set its own qualifying criteria

OSFI does not prescribe MQR for qualifying straight switches; lenders independently assess creditworthiness.

Before you decide

• Confirm an actual written, personalized rate offer, not only a posted rate.

• Get your existing lender to confirm discharge penalties, legal fees and any collateral charge or HELOC complications.

• Ask the receiving lender for a complete written comparison and underwriting decision.

• Confirm mortgage insurer transferability and whether an existing default-insurance certificate carries over.

• Compare portability, prepayment options, penalty methodology, term risks and the new maturity date.

Personalized lender conversation

Sample script (hypothetical rate, not verified)

Hello, I am reviewing my upcoming mortgage renewal and want to speak with your mortgage retention specialist.

My mortgage is approaching renewal and I have received a 5.49% offer for a 3-year term. I am evaluating an illustrative alternative and will confirm actual quotes around 4.49%. Could your retention team review the renewal rate and conditions before I make a decision?

At my estimated balance of $480,000 and 19 years remaining, the illustrative principal-and-interest difference is $256.14 per monthly payment. This assumes the same amortization and no fees or prepayments.

Please provide your most competitive rate and the total interest estimate over the proposed term.

Could you confirm whether that rate is a firm renewal offer and whether any additional fees apply?

Please email the revised proposal with the rate, term, amortization, payment, prepayment privileges, charge type, and expiry date.

I will compare the written proposal with alternatives and follow up before maturity.

Your renewal calendar

2026-11-01 - Review existing mortgage contract: Request maturity date, renewal terms, outstanding principal and prepayment details.

2026-12-01 - Collect competing quotes: Ask qualified lenders or a licensed broker for written quotes on comparable terms.

2026-12-31 - Verify switch and discharge costs: Confirm charge type, insurer transfer conditions, fees and lender underwriting.

2027-01-30 - Negotiate with current lender: Use the personalized questions and seek a firm written counteroffer.

2027-02-08 - Check renewal disclosure: Federally regulated lender renewal statements are generally due at least 21 days before maturity.

2027-02-15 - Choose the best documented offer: Compare interest, ending balance, penalties, fees and non-rate features.

2027-02-22 - Confirm signatures and funding: Verify new payment instructions and lender/solicitor documentation.

2027-03-01 - Maturity day: Confirm the renewal or switch completed and retain documents.

Evidence and methodology appendix

Canadian primary sources

OSFI minimum qualifying rate:
https://www.osfi-bsif.gc.ca/en/supervision/financial-institutions/banks/minimum-qualifying-rate-uninsured-mortgages

OSFI uninsured straight switches: https://www.osfi-bsif.gc.ca/en/guidance/guidance-library/osfi-exempts-uninsured-mortgage-straight-switches-prescribed-mqr-implements-portfolio-lti-limits

Finance Canada insured switches:
https://www.canada.ca/en/department-finance/news/2024/12/boldest-mortgage-reforms-in-decades-come-into-force-today.html

FCAC renewing your mortgage: https://www.canada.ca/en/financial-consumer-agency/services/mortgages/renew-mortgage.html

FCAC early repayment and IRD:
https://www.canada.ca/en/financial-consumer-agency/services/mortgages/reduce-prepayment-penalties.html

Bank of Canada Valet data: https://www.bankofcanada.ca/valet/docs/

How we calculate the results

The fixed-rate payment model uses Canadian nominal semiannual compounding: periodic_rate = (1 + annual_APR / 2) ^ (2 / payments_per_year) - 1. This periodic rate amortizes the selected principal across the outstanding contractual amortization term.

Variable-rate paths are illustrative, assuming nominal monthly compounding and payment recalculation when the modeled rate changes. Fixed-payment variable trigger behavior depends on the actual contract. These scenarios are not forecasts.

Economic cost uses payments over the shared analysis horizon plus remaining loan balance and net fees minus starting mortgage principal. Interest-cost savings and payment savings are not additive. The model distinguishes advertised, personalized and hypothetical rate inputs.

A three-month-interest estimate is only a comparison proxy; lender-specific IRD may use an original posted rate, contract discount, or other formula. Request the lender’s actual written payout and discharge statement.

Verification and limits

• A lender-switch exemption is conditional, not a guaranteed approval or offered interest rate.

• Major-bank posted rate pages can be product/region dependent or client-rendered. An unavailable quote is not replaced with a made-up figure.

• No borrower credit file, borrower identity or new lender commitment is evaluated by this report.

• Verify exact renewal terms, insurance portability, security charge type, prepayment features and underwriting with the lender.

Important: Not a lender quote, mortgage approval, legally binding disclosure, or personalized regulated financial advice. All estimates must be reconciled against mortgage terms and written lender statements. No actual bank rates are inferred from sample scenarios.